# THE UNIVERSITY OF HONG KONG
# FACULTY OF BUSINESS AND ECONOMICS

## MAIB7008 Strategic Management and Leadership in the AI Era

### GENERAL INFORMATION

**Instructor**: Prof. Matthias Fahn
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**Consultation hours**: By Appointment.

**Tutor**: TBD
**Consultation hours**: by Appointment.

**Other important details**:

### COURSE DESCRIPTION

The course explores the issues involved in effective management and leadership in a global business setting in the AI era. A focus of this course will be on how individuals, groups and organizational contexts would impact effectiveness, efficiency, and success of organizations dealing with AI. The main objective is to help students acquire perspectives of how individuals, teams and the entire organization would behave with the advances in AI and the presence of robots.

We study how AI changes information flows, hiring and promotion decisions, incentives, managerial scope and hierarchies, team production, as well as firm boundaries, and how these shifts influence competition, business models, and value capture. The course introduces core frameworks from strategy and organizational economics and applies them to the analysis of AI-driven organizational change. Combined with empirical evidence and applied cases, these frameworks equip students to assess how firms can design organizations, leadership systems, and governance structures that create value from AI while managing implementation challenges and associated risks.

### COURSE OBJECTIVES

1. Provide students with conceptual foundations from strategy and organizational economics to analyze AI-enabled firms and markets.

2. Develop students' ability to evaluate incentives, hiring, promotion, delegation, team design, and boundary-of-the-firm decisions in the context of AI adoption.

3. Strengthen students' capacity to formulate and communicate practical recommendations on AI strategy, leadership, organizational architecture, and value capture.

### PROGRAMME LEARNING OUTCOMES

PLO1: Acquisition and integration of AI, business, and management knowledge.

PLO2: Application of interdisciplinary knowledge to solve business problems.

PLO3: Analytical reasoning and evidence-based decision making.

PLO4: Communication, leadership, and collaboration.

PLO5: Professional ethics, responsible AI, and global outlook.

**COURSE LEARNING OUTCOMES**

| **Course Learning Outcomes** | **Aligned Programme Learning Outcomes** |
|---|---|
| CLO1: Apply strategic management and organizational economics frameworks to explain how AI affects firms, markets, and organizational design. | PLO1, PLO2, PLO3 |
| CLO2: Analyze incentives, motivation, hiring, promotion, delegation, managerial scope, and team design in AI-enabled organizations. | PLO1, PLO2, PLO3, PLO4 |
| CLO3: Evaluate business model, competition, make-buy-partner, ecosystem, and boundary-of-the-firm choices associated with AI. | PLO1, PLO2, PLO3, PLO5 |
| CLO4: Develop clear, evidence-based managerial recommendations on AI leadership, governance, implementation, and value capture. | PLO2, PLO3, PLO4, PLO5 |

**COURSE TEACHING AND LEARNING ACTIVITIES**

| **Course Teaching and Learning Activities** | **Expected contact hour** | **Study Load (% of study)** |
|---|---|---|
| T&L1. Interactive Lectures | 30 | 25% |
| T&L2. Group projects discussion | 20 | 16.7% |
| T&L3. Assignments/Tutorials | 20 | 16.7% |
| T&L4. Lecture preparation & Self-study | 50 | 41.7% |
| Total | | |

**COURSE ASSESSMENT METHODS**

| Assessment | Brief Description (Optional) | Weight | Aligned Course Learning Outcomes |
|---|---|---|---|
| A1. Class Participation | Students are expected to attend regularly, come prepared, and engage actively in class discussion. Quality of contribution matters more than quantity. Strong participation links course concepts to cases, firms, or well-reasoned professional observations. The applicable attendance requirement follows programme policy. | 25% | CLO1, CLO2, CLO3, CLO4 |
| A2. Discussion/Presentation of Papers/Cases | Students will be divided into groups to discuss assigned cases or research papers. Group performance will be assessed based on problem diagnosis, analytical rigor, appropriate use of | 25% | CLO1, CLO2, CLO3, CLO4 |

| | | | |
|---|---|---|---|
| | course frameworks, quality of recommendations, and clarity of presentation. | | |
| A3. Final exam | Details TBD. | 50% | CLO1, CLO2, CLO3, CLO4 |
| | Total | 100% | |

**STANDARDS FOR ASSESSMENT**

**Course Grade Descriptors**

| | |
|---|---|
| A+, A, A- | Consistently demonstrated a thorough and critical grasp of the subject with original, rigorous, and well-supported analysis and synthesis. |
| B+, B, B- | Frequently demonstrated a substantial grasp of the subject with good analysis and clear application of relevant frameworks. |
| C+, C, C- | Responses were generally clear and relevant but lacked depth, precision, or sufficient elaboration. |
| D+, D | Answers contained limited but partially relevant observations and only basic application of course concepts. |
| F | Little evidence of basic familiarity with the subject or ability to apply course frameworks. |

**Assessment Rubrics for Each Assessment**

**Class Participation**

| | |
|---|---|
| A+, A, A- | Consistently well prepared; contributions advance the discussion, connect theory to evidence or examples, and demonstrate excellent judgment and engagement with peers. |
| B+, B, B- | Regularly prepared and contributes relevant comments that show a good understanding of the topic and constructive engagement in class. |
| C+, C, C- | Participates occasionally and demonstrates adequate understanding, but contributions are largely descriptive or insufficiently developed. |
| D+, D | Participates minimally or inconsistently and shows only a basic level of preparation or understanding. |
| F | Rarely participates, is frequently unprepared, or contributes in a way that does not meet minimum expectations. |

| **Paper Presentation/Case Discussion** | |
|---|---|
| A+, A, A- | Successfully communicate the essential elements of the topic; explain concepts thoroughly and in a well-organized manner; demonstrate a deep understanding of the topic with clear evidence of independent thought; display excellent analytical thinking and communication skills. |
| B+, B, B- | Capable of communicating the essential elements of the topic; explain concepts in a well-organized manner; demonstrate a good understanding of the topic with evidence of independent thought; display good analytical thinking and communication skills |
| C+, C, C- | Adequately communicate most of the essential elements of the topic; explain most concepts in a well-organized manner; demonstrate a good understanding of the topic; display adequate analytical thinking and communication skills. |
| D+, D | Cover the main aspect of the topic; demonstrate a basic understanding of the topic; display minimum standard of analytical thinking and communication skills. |
| F | Poorly communicate the topic; inadequately explain most concepts; Fail to demonstrate sufficient comprehension of the topic; display inadequate analytical thinking and communication skills. |
| **Final Exam** | |
| A+, A, A- | Able to correctly apply the relevant economics theory/techniques and compute almost all the questions correctly with convincing and clear elaboration |
| B+, B, B- | Able to correctly apply most of the relevant economics theory/techniques and compute most questions correctly with good explanations |
| C+, C, C- | Able to apply relevant economics theory/techniques to a reasonable extent and correctly compute some questions with fair elaborations |
| D+, D | Able to marginally apply the relevant economics theory/techniques and partially compute some questions with limited elaborations |
| F | Fail to apply the relevant economics theory/techniques and fail to compute most questions |

| COURSE CONTENT AND TENTATIVE TEACHING SCHEDULE | |
|---|---|
| **Sections** | **Content** |
| Section 1 | AI and the Economics of Organization |
| Section 2 | AI, Competition, and Business Model Design |
| Section 3 | Incentives and Motivation |
| Section 4 | Hiring, Promotion, and Internal Labor Markets |
| Section 5 | Leadership, Delegation, and Managerial Scope |
| Section 6 | Teams, Complementarities, and Human-AI Collaboration |
| Section 7 | Boundaries of the Firm and Vertical Scope |
| Section 8 | Strategy, Governance, and Value Capture in the AI Era |
| Section 9 | Student Presentations |
| Section 10 | Guest Speaker / Q&A |

**REQUIRED/RECOMMENDED READINGS & ONLINE MATERIALS**

Materials in this course are designed to be largely self-sufficient. Additional readings will be suggested during class.

**MEANS/PROCESSES FOR STUDENT FEEDBACK ON COURSE**

X conducting mid-term survey in additional to SFTL around the end of the semester

○ Online response via Moodle site

Others: _____ (please specify)

**COURSE POLICY**

**Academic Integrity**

The University Regulations on academic dishonesty will be strictly enforced. Please check the University Statement on plagiarism on http://www.hku.hk/plagiarism/.

Cheating or plagiarism of any kind would result in an automatic F grade for the course plus strict enforcement of all Faculty and/or University regulations regarding such behavior. Incident(s) of academic dishonesty will NOT be tolerated.

Academic dishonesty is a behavior in which a deliberately fraudulent misrepresentation is employed in an attempt to gain undeserved intellectual credit, either for oneself or for another. It includes, but is not necessarily limited to, the following types of cases:

a. Plagiarism - The representation of someone else's ideas as if they are one's own. Where the arguments, data, designs, etc., of someone else are being used in a paper, report, oral presentation, or similar academic project, this fact must be made explicitly clear by citing the appropriate references. The references must fully indicate the

extent to which any parts of the project are not one's own work. Paraphrasing of someone else's ideas is still using someone else's ideas, and must be acknowledged.

b. Unauthorized Collaboration on Out-of-Class Projects - The representation of work as solely one's own when in fact it is the result of a joint effort.

c. Cheating on In-Class Exams - The covert gathering of information from other students, the use of unauthorized notes, unauthorized aids, etc.

d. Unauthorized Advance Access to an Exam - The representation of materials prepared at leisure, as a result of unauthorized advance access (however obtained), as if it were prepared under the rigors of the exam setting. This misrepresentation is dishonest in itself even if there are not compounding factors, such as unauthorized uses of books or notes.

**ADDITIONAL COURSE INFORMATION**

**Tutorials**